

**UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549**

FORM 10-K

☒ **Annual report pursuant to section 13 or 15(d) of the Securities Exchange Act of 1934**

For the fiscal year ended January 31, 2025, or

☐ **Transition report pursuant to section 13 or 15(d) of the Securities Exchange Act of 1934**

Commission file number 001-06991.

Walmart
WALMART INC.

(Exact name of registrant as specified in its charter)

Delaware

(State or other jurisdiction of
incorporation or organization)

71-0415188

(IRS Employer Identification No.)

702 S.W. 8th Street

Bentonville, AR

(Address of principal executive offices)

72716

(Zip Code)

Registrant's telephone number, including area code: (479) 273-4000

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock, par value \$0.10 per share	WMT	New York Stock Exchange
2.550% Notes due 2026	WMT26	New York Stock Exchange
1.050% Notes due 2026	WMT26A	New York Stock Exchange
1.500% Notes due 2028	WMT28C	New York Stock Exchange
4.875% Notes due 2029	WMT29B	New York Stock Exchange
5.750% Notes due 2030	WMT30B	New York Stock Exchange
1.800% Notes due 2031	WMT31A	New York Stock Exchange
5.625% Notes due 2034	WMT34	New York Stock Exchange
5.250% Notes due 2035	WMT35A	New York Stock Exchange
4.875% Notes due 2039	WMT39	New York Stock Exchange

Securities registered pursuant to Section 12(g) of the Act: None

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act.

Yes ☒ No ☐

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Exchange Act.

Yes ☐ No ☒

including strong sales in grocery and health and wellness. Additionally, fiscal 2025 and 2024 growth was partially offset by lower fuel sales primarily due to lower market prices. Sam's Club U.S. eCommerce sales positively contributed approximately 2.3% and 1.7% to comparable sales for fiscal 2025 and 2024, respectively, which was primarily driven by club-fulfilled curbside pickup and delivery.

Margin

Our objective of prioritizing margin focuses on growth with a focus on incremental margin accretion through a combination of productivity improvements as well as category and business mix. We invest in technology and process improvements to increase productivity, manage inventory and reduce costs and we operate with discipline by managing expenses and optimizing the efficiency of how we work. We measure operating discipline through expense leverage, which we define as net sales growing at a faster rate than operating, selling, general and administrative ("operating") expenses. Additionally, we focus on our mix of businesses, including expanding our ecosystem in higher margin areas, such as digital advertising and marketplace. Our objective is to achieve operating income leverage, which we define as growing operating income at a faster rate than net sales.

	Fiscal Years Ended January 31,	
	2025	2024
(Amounts in millions, except unit counts)		
Net sales	\$ 674,538	\$ 642,637
Percentage change from comparable period	5.0 %	6.1 %
Gross profit ⁽¹⁾ as a percentage of net sales	24.1 %	23.7 %
Operating expenses as a percentage of net sales	20.7 %	20.4 %
Operating income	\$ 29,348	\$ 27,012
Operating income as a percentage of net sales	4.4 %	4.2 %

⁽¹⁾ Gross profit defined as net sales less cost of sales.

Gross profit as a percentage of net sales ("gross profit rate") increased 40 and 27 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increases were primarily driven by the Walmart U.S. segment, due to managing prices aligned to our competitive historic price gaps, as well as growth in higher margin businesses globally, partially offset by mix shifts into lower margin merchandise categories. Additionally, the increase in fiscal 2024 benefited from lapping higher markdowns incurred in the prior year.

Operating expenses as a percentage of net sales increased 36 and decreased 60 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increase for fiscal 2025 was primarily due to higher variable pay as a result of exceeding planned performance, increased marketing and higher depreciation expenses. The decrease for fiscal 2024 was primarily due to lapping charges of \$3.3 billion related to opioid-related legal settlements and \$0.8 billion related to the reorganization and restructuring of certain businesses in the Walmart International segment in the prior year.

Operating income as a percentage of net sales increased 15 and 83 basis points for fiscal 2025 and 2024, respectively, due to the factors described above, as well as from strong growth in membership income globally.

Returns

As we execute our financial framework, we believe our return on capital will improve over time. We measure return on capital with our return on investment and free cash flow metrics. In addition, we provide returns in the form of share repurchases and dividends, which are discussed in the [Liquidity and Capital Resources](#) section.

Return on Assets and Return on Investment

We include Return on Assets ("ROA") and Return on Investment ("ROI") as metrics to assess our return on capital. ROA is the most directly comparable measure based on our financial statements presented in accordance with generally accepted accounting principles in the U.S. ("GAAP") while ROI is considered a non-GAAP financial measure. Management believes ROI is a meaningful metric to share with investors because it helps investors assess how effectively Walmart is deploying its assets. Trends in ROI can fluctuate over time as management balances long-term strategic initiatives with possible short-term impacts.

Our calculation of ROI is considered a non-GAAP financial measure because we calculate ROI using financial measures that exclude and include amounts that are included and excluded in ROA, the most directly comparable GAAP financial measure. ROA is consolidated net income for the period divided by average total assets for the period. We define ROI as operating income plus interest income, depreciation and amortization, and rent expense for the trailing 12 months divided by average invested capital during the period. We consider average invested capital to be the average of our beginning and ending total assets, plus average accumulated depreciation and amortization, less average accounts payable and average accrued liabilities for that period. Although ROI is a standard financial measure, numerous methods exist for calculating a company's ROI. As a result, the method used by management to calculate our ROI may differ from the methods used by other companies to calculate their ROI.

ROA was 7.9% and 6.6% for fiscal 2025 and 2024, respectively. The increase in ROA was primarily due to an increase in consolidated net income during the trailing 12 month period, as a result of higher operating income and changes in the fair value of our equity and other investments. ROI was 15.5% and 15.0% for fiscal 2025 and 2024, respectively. The increase in ROI was the result of an increase in operating income, primarily due to improvements in business performance, partially offset by an increase in average invested capital primarily due to higher purchases of property and equipment.

The calculation of ROA and ROI, along with a reconciliation of ROI to the calculation of ROA, the most comparable GAAP financial measure, is as follows:

<i>(Amounts in millions)</i>	Fiscal Years Ended January 31,	
	2025	2024
CALCULATION OF RETURN ON ASSETS		
Numerator		
Consolidated net income	\$ 20,157	\$ 16,270
Denominator		
Average total assets ⁽¹⁾	\$ 256,611	\$ 247,798
Return on assets (ROA)	7.9 %	6.6 %
CALCULATION OF RETURN ON INVESTMENT		
Numerator		
Operating income	\$ 29,348	\$ 27,012
+ Interest income	483	546
+ Depreciation and amortization	12,973	11,853
+ Rent	2,347	2,277
= ROI operating income	\$ 45,151	\$ 41,688
Denominator		
Average total assets ⁽¹⁾	\$ 256,611	\$ 247,798
+ Average accumulated depreciation and amortization ⁽¹⁾	121,624	114,944
- Average accounts payable ⁽¹⁾	57,739	55,277
- Average accrued liabilities ⁽¹⁾	29,052	29,943
= Average invested capital	\$ 291,444	\$ 277,522
Return on investment (ROI)	15.5 %	15.0 %

⁽¹⁾ The average is based on the addition of the account balance at the end of the current period to the account balance at the end of the prior period and dividing by two.

	As of January 31,		
	2025	2024	2023
Certain Balance Sheet Data			
Total assets	\$ 260,823	\$ 252,399	\$ 243,197
Accumulated depreciation and amortization	123,646	119,602	110,286
Accounts payable	58,666	56,812	53,742
Accrued liabilities	29,345	28,759	31,126

Strategic Capital Allocation

Our strategy includes allocating the majority of our capital to higher-return areas focused on automation such as eCommerce, supply chain and store and club investments. The following table provides additional detail regarding our capital expenditures:

<i>(Amounts in millions)</i>	Fiscal Years Ended January 31,	
	2025	2024
Allocation of Capital Expenditures		
Supply chain, customer-facing initiatives, technology and other	\$ 14,603	\$ 11,828
Store and club remodels	5,552	5,792
New stores and clubs, including expansions and relocations	450	75
Total U.S.	\$ 20,605	\$ 17,695
Walmart International	3,178	2,911
Total Capital Expenditures	\$ 23,783	\$ 20,606

Free Cash Flow

Free cash flow is considered a non-GAAP financial measure. Management believes, however, that free cash flow, which measures our ability to generate additional cash from our business operations, is an important financial measure for use in evaluating the Company's financial performance. Free cash flow should be considered in addition to, rather than as a substitute for, consolidated net income as a measure of our performance and net cash provided by operating activities as a measure of our liquidity. See [Liquidity and Capital Resources](#) for discussions of GAAP metrics including net cash provided by operating activities, net cash used in investing activities and net cash used in financing activities.

We define free cash flow as net cash provided by operating activities in a period minus payments for property and equipment made in that period. We had net cash provided by operating activities of \$36.4 billion, \$35.7 billion and \$28.8 billion for fiscal 2025, 2024 and 2023, respectively. We generated free cash flow of \$12.7 billion, \$15.1 billion and \$12.0 billion for fiscal 2025, 2024 and 2023, respectively. The increase in net cash provided by operating activities in fiscal 2025 is primarily due to an increase in cash provided by operating income and lapping the payment of accrued opioid legal charges in the prior year, partially offset by increased inventory purchases. Free cash flow for fiscal 2025 decreased when compared to fiscal 2024 due to an increase of \$3.2 billion in capital expenditures to support our investment strategy, partially offset by the increase in net cash provided by operating activities described above. Net cash provided by operating activities for fiscal 2024 increased when compared to fiscal 2023 primarily due to higher cash provided by operating income, as well as timing of certain payments and strategic inventory management as part of working capital initiatives, partially offset by payment of the remaining accrued opioid legal charges. Free cash flow for fiscal 2024 increased when compared to fiscal 2023 due to the increase in net cash provided by operating activities described above, partially offset by an increase of \$3.7 billion in capital expenditures to support our investment strategy.

Walmart's definition of free cash flow is limited in that it does not represent residual cash flows available for discretionary expenditures due to the fact that the measure does not deduct the payments required for debt service and other contractual obligations or payments made for business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our [Consolidated Statements of Cash Flows](#).

Although other companies report their free cash flow, numerous methods may exist for calculating a company's free cash flow. As a result, the method used by management to calculate our free cash flow may differ from the methods used by other companies to calculate their free cash flow.

The following table sets forth a reconciliation of free cash flow, a non-GAAP financial measure, to net cash provided by operating activities, which we believe to be the GAAP financial measure most directly comparable to free cash flow, as well as information regarding net cash used in investing activities and net cash used in financing activities.

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Net cash provided by operating activities	\$ 36,443	\$ 35,726	\$ 28,841
Payments for property and equipment	(23,783)	(20,606)	(16,857)
Free cash flow	\$ 12,660	\$ 15,120	\$ 11,984
Net cash used in investing activities ⁽¹⁾	\$ (21,379)	\$ (21,287)	\$ (17,722)
Net cash used in financing activities	(14,822)	(13,414)	(17,039)

⁽¹⁾ "Net cash used in investing activities" includes payments for property and equipment, which is also included in our computation of free cash flow.

Results of Operations

Consolidated Results of Operations

	Fiscal Years Ended January 31,		
	2025	2024	2023
<i>(Dollar amounts and retail square feet in millions)</i>			
Net sales	\$ 674,538	\$ 642,637	\$ 605,881
Percentage change from comparable period	5.0 %	6.1 %	6.7 %
Membership and other income ⁽¹⁾	\$ 6,447	\$ 5,488	\$ 5,408
Total revenues	680,985	648,125	611,289
Percentage change from comparable period	5.1 %	6.0 %	6.7 %
Gross profit ⁽²⁾	162,785	152,495	142,160
Operating expenses ⁽²⁾	139,884	130,971	127,140
Operating income	29,348	27,012	20,428
Other (gains) and losses	794	3,027	1,538
Consolidated net income	20,157	16,270	11,292
Percentage of net sales			
Gross profit	24.1 %	23.7 %	23.5 %
Operating expenses	20.7 %	20.4 %	21.0 %
Operating income	4.4 %	4.2 %	3.4 %
Unit counts at period end	10,771	10,616	10,623
Retail square feet at period end	1,053	1,053	1,056

⁽¹⁾ Membership and other income includes membership fees and other items such as rental and tenant income, recycling income, gift card breakage income, as well as other income from corporate campus facilities.

⁽²⁾ Gross profit is defined as net sales less cost of sales. Operating expenses refers to operating, selling, general and administrative expenses.

Our total revenues increased \$32.9 billion or 5.1% and \$36.8 billion or 6.0% for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. These increases in revenues were primarily due to increases in net sales, which increased \$31.9 billion or 5.0% and \$36.8 billion or 6.1% for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increases were primarily due to strong positive comparable sales across our U.S. segments and international markets, driven primarily by growth in transactions and unit volumes, which included strength in eCommerce as well as strong sales in grocery, and health and wellness. Net sales were negatively impacted by \$3.2 billion and positively impacted by \$3.0 billion of fluctuations in currency exchange rates during fiscal 2025 and 2024, respectively. Membership and other income increased \$1.0 billion and \$0.1 billion for fiscal 2025 and fiscal 2024, primarily driven by growth in membership fee income globally.

Our gross profit rate increased 40 and 27 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increases were primarily driven by the Walmart U.S. segment, due to managing prices aligned to our competitive historic price gaps, as well as growth in higher margin businesses globally, partially offset by mix shifts into lower margin merchandise categories. Additionally, the increase in fiscal 2024 benefited from lapping higher markdowns incurred in the prior year.

Our operating expenses as a percentage of net sales increased 36 and decreased 60 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increase for fiscal 2025 was primarily due to higher variable pay as a result of exceeding planned performance, increased marketing and higher depreciation expenses. The decrease for fiscal 2024 was primarily due to lapping charges of \$3.3 billion related to opioid-related legal settlements and \$0.8 billion related to the reorganization and restructuring of certain businesses in the Walmart International segment in the prior year.

Other gains and losses consist of certain non-operating items, such as the change in the fair value of our investments and gains or losses on business dispositions, which by their nature can fluctuate from period to period. Other gains and losses consisted of net losses of \$0.8 billion and \$3.0 billion in fiscal 2025 and 2024, respectively, which primarily consisted of changes in fair value of our equity and other investments driven by changes in their underlying stock prices.

Our effective income tax rate was 23.4%, 25.5%, and 33.6% for fiscal 2025, 2024 and 2023, respectively. The decrease in effective tax rate in fiscal 2025 compared to fiscal 2024 is primarily due to the tax impact on changes in fair value of our investments. The higher effective tax rate in fiscal 2023 compared to fiscal 2025 and fiscal 2024 is primarily related to the tax impacts of the separation of Flipkart and PhonePe. Our effective income tax rate may also fluctuate as a result of various factors, including changes in our assessment of unrecognized tax benefits, valuation allowances, business operations, acquisitions, investments, entry into new businesses and geographies, intercompany transactions, changes in tax law, changes in the administrative practices, principles, and interpretations related to tax, and the mix and size of earnings among our U.S. operations and international operations, which are subject to statutory rates that are generally higher than the U.S. statutory rate. The reconciliation from the U.S. statutory rate to the effective income tax rates for fiscal 2025, 2024 and 2023 is provided in [Note 9](#).

As a result of the factors discussed above, we reported \$20.2 billion and \$16.3 billion of consolidated net income for fiscal 2025 and 2024, respectively, which represents an increase of \$3.9 billion and \$5.0 billion for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. Diluted net income per common share attributable to Walmart ("EPS") was \$2.41, \$1.91 and \$1.42 for fiscal 2025, 2024 and 2023, respectively.

Walmart U.S. Segment

	Fiscal Years Ended January 31,		
	2025	2024	2023
<i>(Dollar amounts and retail square feet in millions)</i>			
Net sales	\$ 462,415	\$ 441,817	\$ 420,553
Net sales percentage change from comparable period	4.7 %	5.1 %	6.9 %
Calendar comparable sales increase	4.8 %	5.5 %	7.0 %
Membership and other income	\$ 2,594	\$ 1,985	\$ 1,845
Gross profit	125,964	118,254	111,748
Operating expenses	104,676	98,085	92,973
Operating income	23,882	22,154	20,620
Percentage of net sales			
Gross profit	27.2 %	26.8 %	26.6 %
Operating expenses	22.6 %	22.2 %	22.1 %
Operating income	5.2 %	5.0 %	4.9 %
Unit counts at period end	4,605	4,615	4,717
Retail square feet at period end	698	699	702

Net sales for the Walmart U.S. segment increased \$20.6 billion or 4.7% and \$21.3 billion or 5.1% for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increases in net sales were primarily due to increases in comparable sales of 4.8% and 5.5% for fiscal 2025 and 2024, respectively. Comparable sales in fiscal 2025 were driven by growth in transactions and unit volumes, with strong sales in grocery and health and wellness. Comparable sales in fiscal 2024 were driven by growth in transactions combined with growth in average ticket, including strong sales in grocery and health and wellness. Walmart U.S. eCommerce sales positively contributed approximately 2.9% and 2.6% to comparable sales for fiscal 2025 and 2024, respectively, which was primarily driven by store-fulfilled pickup and delivery.

Membership and other income increased \$0.6 billion and \$0.1 billion for fiscal 2025 and fiscal 2024, primarily driven by growth in membership fee income from Walmart+ and recycling income.

Gross profit rate increased 47 and 20 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increase in fiscal 2025 gross profit rate was primarily driven by managing prices aligned to our competitive historic price gaps and growth in higher margin businesses, partially offset by mix shifts into lower margin merchandise categories. The increase in fiscal 2024 gross profit rate was primarily due to managing prices aligned to our competitive historic price gaps and lapping higher net markdowns incurred in the prior year, partially offset by product mix shifts into lower margin categories.

Operating expenses as a percentage of segment net sales increased 44 and 9 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increase for fiscal 2025 was primarily due to increased marketing expenses, higher variable pay as a result of exceeding planned performance and increased depreciation expenses. For fiscal 2024, the increase was driven by higher variable pay relative to the prior year as a result of exceeding our planned performance.

As a result of the factors discussed above, segment operating income increased \$1.7 billion and \$1.5 billion for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year.

Walmart International Segment

	Fiscal Years Ended January 31,		
	2025	2024	2023
(Dollar amounts and retail square feet in millions)			
Net sales	\$ 121,885	\$ 114,641	\$ 100,983
Percentage change from comparable period	6.3 %	13.5 %	— %
Membership and other income	\$ 1,478	\$ 1,408	\$ 1,621
Gross profit	26,618	24,810	21,651
Operating expenses	22,595	21,309	20,307
Operating income	5,501	4,909	2,965
Percentage of net sales			
Gross profit	21.8 %	21.6 %	21.4 %
Operating expenses	18.5 %	18.6 %	20.1 %
Operating income	4.5 %	4.3 %	2.9 %
Unit counts at period end	5,566	5,402	5,306
Retail square feet at period end	274	274	273

Net sales for the Walmart International segment increased \$7.2 billion or 6.3% and \$13.7 billion or 13.5% for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. For fiscal 2025, the increase was primarily due to positive comparable sales in all of our international markets, which included strength in eCommerce, partially offset by negative fluctuations in currency exchange rates of \$3.2 billion. For fiscal 2024, the increase was primarily due to positive comparable sales across our international markets and positive fluctuations in currency exchange rates of \$3.0 billion.

Gross profit rate increased 20 basis points for both fiscal 2025 and 2024 when compared to the previous fiscal year. For fiscal 2025, the increase was primarily due to improved eCommerce margin and business mix changes, partially offset by ongoing channel and format mix changes. For fiscal 2024, the increase was primarily driven by supply chain efficiencies partially offset by ongoing channel and format mix shifts.

Operating expenses as a percentage of segment net sales decreased 5 and 152 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The decrease in operating expenses as a percentage of segment net sales for fiscal 2025 was primarily due to increased sales driving expense leverage, partially offset by planned investments in associate wages and strategic priorities in Mexico and Central America. The decrease in operating expenses as a percentage of segment net sales for fiscal 2024, was primarily due to the lapping of business reorganization and restructuring charges incurred related to Flipkart and Massmart in fiscal 2023 and an increase in sales in fiscal 2024.

As a result of the factors discussed above, segment operating income increased \$0.6 billion and \$1.9 billion for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year.

Sam's Club U.S. Segment

	Fiscal Years Ended January 31,		
	2025	2024	2023
<i>(Dollar amounts and retail square feet in millions)</i>			
Including Fuel			
Net sales	\$ 90,238	\$ 86,179	\$ 84,345
Percentage change from comparable period	4.7 %	2.2 %	14.7 %
Calendar comparable sales increase	4.7 %	2.3 %	14.6 %
Membership and other income	\$ 2,323	\$ 2,051	\$ 1,908
Gross profit	10,203	9,431	8,761
Operating expenses	10,122	9,290	8,705
Operating income	2,404	2,192	1,964
Percentage of net sales			
Gross profit	11.3 %	10.9 %	10.4 %
Operating expenses	11.2 %	10.8 %	10.3 %
Operating income	2.7 %	2.5 %	2.3 %
Unit counts at period end	600	599	600
Retail square feet at period end	80	80	80
Excluding Fuel ⁽¹⁾			
Net sales	\$ 79,777	\$ 75,057	\$ 71,665
Percentage change from comparable period	6.3 %	4.7 %	10.5 %
Operating income	\$ 1,785	\$ 1,659	\$ 1,352
Operating income as a percentage of net sales	2.2 %	2.2 %	1.9 %

⁽¹⁾ We believe the "Excluding Fuel" information is useful to investors because it permits investors to understand the effect of the Sam's Club U.S. segment's fuel sales on its results of operations, which are impacted by the volatility of fuel prices. Volatility in fuel prices may continue to impact the operating results of the Sam's Club U.S. segment in the future.

Net sales for the Sam's Club U.S. segment increased \$4.1 billion or 4.7% and \$1.8 billion or 2.2% for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. The increases in net sales were primarily due to increases in comparable sales, including fuel, of 4.7% and 2.3% for fiscal 2025 and 2024, respectively. Comparable sales in fiscal 2025 were driven by growth in transactions and unit volumes, with strong sales in grocery and health and wellness. Comparable sales in fiscal 2024 were driven by growth in transactions and average ticket, including strong sales in grocery and health and wellness. Additionally, fiscal 2025 and 2024 growth was partially offset by lower fuel sales primarily due to lower market prices. Sam's Club U.S. eCommerce sales positively contributed approximately 2.3% and 1.7% to comparable sales for fiscal 2025 and 2024, respectively, which was primarily driven by club-fulfilled curbside pickup and delivery.

Membership and other income increased 13.3% and 7.5% for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. For fiscal 2025 and 2024, the increases were primarily due to growth in membership base and Plus penetration. Fiscal 2025 and 2024 were also positively impacted by the expiration of a promotional offering offsetting membership fee increases during the fourth quarter of fiscal 2024.

Gross profit rate increased 37 and 55 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. For fiscal 2025, the increase in gross profit rate was primarily due to improved operational efficiencies related to merchandise flow and increased margins in fuel, partially offset by higher eCommerce fulfillment costs. For fiscal 2024, the increase in gross profit rate was primarily due to the lapping of elevated markdowns in the prior year. Additionally, fiscal 2025 and 2024 gross profit rates were partially offset by product mix shifts into lower margin categories.

Operating expenses as a percentage of segment net sales increased 44 and 46 basis points for fiscal 2025 and 2024, respectively, when compared to the previous fiscal year. Fiscal 2025 operating expenses as a percentage of net sales increased primarily due to increased compensation related expenses, including associate wage investments and higher variable pay as a result of exceeding our planned performance, as well as elevated technology spend. Fiscal 2024 operating expenses as a percentage of net sales increased primarily due to lower fuel sales and elevated technology spend.

As a result of the factors discussed above, segment operating income increased \$0.2 billion for both fiscal 2025 and 2024, respectively, when compared to the previous fiscal year.

Liquidity and Capital Resources

Liquidity

The strength and stability of our operations have historically supplied us with a significant source of liquidity. Our cash flows provided by operating activities, supplemented with our long-term debt and short-term borrowings, have been sufficient to fund our operations while allowing us to invest in activities that support the long-term growth of our operations. Generally, some or all of the remaining available cash flow has been used to fund dividends on our common stock and share repurchases. We believe our sources of liquidity will continue to be sufficient to fund operations, finance our investment activities, pay dividends and fund our share repurchases for at least the next 12 months and for the foreseeable future.

Net Cash Provided by Operating Activities

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Net cash provided by operating activities	\$ 36,443	\$ 35,726	\$ 28,841

Net cash provided by operating activities was \$36.4 billion, \$35.7 billion and \$28.8 billion for fiscal 2025, 2024 and 2023, respectively. The increase in net cash provided by operating activities in fiscal 2025, when compared to the previous fiscal year, is primarily due to an increase in cash provided by operating income and lapping the payment of accrued opioid legal charges in the prior year, partially offset by increased inventory purchases. The increase in net cash provided by operating activities for fiscal 2024, when compared to the previous fiscal year, was primarily due to higher cash provided by operating income, as well as timing of certain payments and strategic inventory management as part of working capital initiatives, partially offset by payment of the remaining accrued opioid legal charges.

Cash Equivalents and Working Capital Deficit

Cash and cash equivalents were \$9.0 billion and \$9.9 billion as of January 31, 2025 and 2024, respectively. Our working capital deficit, defined as total current assets less total current liabilities, was \$17.1 billion and \$15.5 billion as of January 31, 2025 and 2024, respectively. The increase in our working capital deficit is primarily driven by an increase in short-term borrowings for general corporate purposes and accounts payable due to timing of payments, partially offset by increased inventories and receivables related to higher sales growth. We generally operate with a working capital deficit due to our efficient use of cash in funding operations, consistent access to the capital markets and returns provided to our shareholders in the form of payments of cash dividends and share repurchases.

We use intercompany financing arrangements in an effort to ensure cash can be made available in the country in which it is needed with the minimum cost possible. Additionally, from time-to-time, we repatriate earnings and related cash from jurisdictions outside of the U.S. Under current law, repatriations of foreign earnings will generally be free of U.S. federal tax, but may incur other taxes such as withholding or state taxes. We do not expect current local laws, or other existing limitations on anticipated future repatriations of cash amounts held outside the U.S. to have a material effect on our overall liquidity, financial position or results of operations.

As of January 31, 2025 and 2024, cash and cash equivalents of \$3.3 billion and \$3.5 billion, respectively, may not be freely transferable to the U.S. due to local laws or other restrictions or are subject to the approval of the noncontrolling interest shareholders.

Net Cash Used in Investing Activities

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Net cash used in investing activities	\$ (21,379)	\$ (21,287)	\$ (17,722)

Net cash used in investing activities was \$21.4 billion, \$21.3 billion and \$17.7 billion for fiscal 2025, 2024 and 2023, respectively, and generally consisted of capital expenditures. Net cash used in investing activities increased \$0.1 billion for fiscal 2025 when compared to the previous fiscal year. The increase is primarily due to increased purchases of property and equipment as well as the acquisition of VIZIO for net consideration of \$1.9 billion, partially offset by net proceeds received from sales of certain strategic investments, including \$3.6 billion related to the sale of our JD.com investment. Net cash used in investing activities increased \$3.6 billion for fiscal 2024 when compared to the previous fiscal year, primarily due to increased payments for property and equipment.

Capital expenditures

Refer to the "[Strategic Capital Allocation](#)" section in our [Company Performance Metrics](#) for capital expenditure detail for fiscal 2025 and 2024. For the fiscal year ending January 31, 2026 ("fiscal 2026"), we project capital expenditures will be approximately \$21 billion to \$25 billion, with a focus on technology, supply chain and customer-facing initiatives.

Net Cash Used in Financing Activities

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Net cash used in financing activities	\$ (14,822)	\$ (13,414)	\$ (17,039)

Net cash used in financing activities generally consisted of debt transactions, dividends paid, repurchases of Company stock and transactions with noncontrolling interest shareholders. Fiscal 2025 net cash used in financing activities increased \$1.4 billion when compared to the previous fiscal year. The increase is primarily due to lapping debt issuances in the prior fiscal year and increased share repurchases, partially offset by the purchase of certain noncontrolling interests in the prior fiscal year and higher short-term borrowings. Fiscal 2024 net cash used in financing activities decreased \$3.6 billion when compared to the previous fiscal year. The decrease was primarily due to fewer share repurchases, partially offset by the purchase of certain noncontrolling interests.

Purchase and Sale of Subsidiary Stock

During fiscal 2024, we paid \$3.5 billion to acquire shares from certain Flipkart noncontrolling interest holders and settle the liability to former noncontrolling interest holders of PhonePe. Additionally, we received \$0.7 billion related to new rounds of equity funding for the Company's majority owned PhonePe subsidiary.

During fiscal 2023, we completed a \$0.4 billion buyout of the noncontrolling interest shareholders of our Massmart subsidiary and completed a \$0.4 billion acquisition of Alert Innovation, bringing our ownership to approximately 100% of both Massmart and Alert Innovation. The Alert Innovation entity was subsequently sold and deconsolidated in fiscal 2025.

Short-term Borrowings

We generally utilize the liquidity provided by short-term borrowings to provide funding for our operations, dividend payments, share repurchases, capital expenditures and other cash requirements. The following table includes additional information related to our short-term borrowings for fiscal 2025, 2024 and 2023:

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Maximum amount outstanding at any month-end	\$ 7,232	\$ 9,942	\$ 11,432
Average daily short-term borrowings	4,157	4,295	7,250
Annual weighted-average interest rate	5.1 %	5.1 %	2.4 %

Short-term borrowings as of January 31, 2025 and 2024 were \$3.1 billion and \$0.9 billion, respectively, with weighted-average interest rates of 5.3% and 7.7%, respectively. We also have \$15.0 billion of various undrawn committed lines of credit in the U.S. as of January 31, 2025 that provide additional liquidity, if needed. Additionally, we maintain access to various credit facilities outside of the U.S. to further support our Walmart International segment operations, as needed.

As of January 31, 2025, we have \$2.1 billion of syndicated and fronted letters of credit available, of which \$1.5 billion was drawn and represents an unrecorded current obligation.

Long-term Debt

The following table provides the changes in our long-term debt for fiscal 2025:

(Amounts in millions)	Long-term debt due within one year	Long-term debt	Total
Balances as of February 1, 2024	\$ 3,447	\$ 36,132	\$ 39,579
Repayments of long-term debt	(3,468)	—	(3,468)
Reclassifications of long-term debt	2,625	(2,625)	—
Currency and other adjustments	(6)	(106)	(112)
Balances as of January 31, 2025	<u>\$ 2,598</u>	<u>\$ 33,401</u>	<u>\$ 35,999</u>

Our total outstanding long-term debt decreased \$3.6 billion during fiscal 2025, primarily due to maturities of certain long-term debt. Refer to [Note 6](#) to our Consolidated Financial Statements for details on the issuances of long-term debt.

Estimated contractual interest payments associated with our long-term debt amount to \$18.2 billion, with approximately \$1.7 billion expected to be paid in fiscal 2026. Estimated interest payments are based on our principal amounts and expected maturities of all debt outstanding as of January 31, 2025, and assumes interest rates remain at current levels for our variable rate instruments.

Walmart Inc.
Consolidated Statements of Income

	Fiscal Years Ended January 31,		
	2025	2024	2023
<i>(Amounts in millions, except per share data)</i>			
Revenues:			
Net sales	\$ 674,538	\$ 642,637	\$ 605,881
Membership and other income	6,447	5,488	5,408
Total revenues	680,985	648,125	611,289
Costs and expenses:			
Cost of sales	511,753	490,142	463,721
Operating, selling, general and administrative expenses	139,884	130,971	127,140
Operating income	29,348	27,012	20,428
Interest:			
Debt	2,249	2,259	1,787
Finance lease	479	424	341
Interest income	(483)	(546)	(254)
Interest, net	2,245	2,137	1,874
Other (gains) and losses	794	3,027	1,538
Income before income taxes	26,309	21,848	17,016
Provision for income taxes	6,152	5,578	5,724
Consolidated net income	20,157	16,270	11,292
Consolidated net (income) loss attributable to noncontrolling interest	(721)	(759)	388
Consolidated net income attributable to Walmart	<u>\$ 19,436</u>	<u>\$ 15,511</u>	<u>\$ 11,680</u>
Net income per common share:			
Basic net income per common share attributable to Walmart	\$ 2.42	\$ 1.92	\$ 1.43
Diluted net income per common share attributable to Walmart	2.41	1.91	1.42
Weighted-average common shares outstanding:			
Basic	8,041	8,077	8,171
Diluted	8,081	8,108	8,202
Dividends declared per common share	\$ 0.8300	\$ 0.7600	\$ 0.7467

See accompanying notes.

India Antitrust Matter. On January 13, 2020, the Competition Commission of India ("CCI") ordered its Director General (the "DG") to investigate certain matters alleging competition law violations by certain subsidiaries of Flipkart in India and other parties. On September 13, 2024, those subsidiaries received a non-confidential version of the DG's Investigation Report (the "Report"), alleging certain competition law violations. CCI is not bound by the Report, and will conduct its independent analysis of the allegations, including hearing objections from the subsidiaries and other parties before issuing its final order in the matter, which could include monetary and non-monetary relief. CCI's final order would also be subject to appropriate appellate proceedings. The Company can provide no assurance as to the scope and outcome of this matter, cannot reasonably estimate any loss or range of loss that may arise, and can provide no assurance that its business, financial position, results of operations or cash flows will not be materially adversely affected.

Note 11. Retirement-Related Benefits

The Company offers a 401(k) plan for associates in the U.S. under which eligible associates can begin contributing to the plan immediately upon hire. The Company also offers a 401(k) type plan for associates in Puerto Rico under which associates can begin to contribute generally after one year of employment. Under these plans, after one year of employment, the Company matches 100% of participant contributions up to 6% of annual eligible earnings. The matching contributions immediately vest at 100% for each associate. Participants can contribute up to 50% of their pre-tax earnings, but not more than the statutory limits.

Associates in international countries who are not U.S. citizens are covered by various defined contribution post-employment benefit arrangements. These plans are administered based upon the legislative and tax requirements in the countries in which they are established.

The following table summarizes the contribution expense related to the Company's defined contribution plans for fiscal 2025, 2024 and 2023:

	Fiscal Years Ended January 31,		
	2025	2024	2023
<i>(Amounts in millions)</i>			
Defined contribution plans:			
U.S.	\$ 1,751	\$ 1,528	\$ 1,491
International	78	85	74
Total contribution expense for defined contribution plans	\$ 1,829	\$ 1,613	\$ 1,565

Note 12. Segments and Disaggregated Revenue

Segments

The Company is engaged in the operation of retail and wholesale stores and clubs, as well as eCommerce websites and mobile applications, located throughout the U.S., Africa, Canada, Central America, Chile, China, India and Mexico. The Company's operations are conducted in three reportable segments: Walmart U.S., Walmart International and Sam's Club U.S. The Company defines its segments as those operations whose results the chief operating decision maker ("CODM"), the Company's Chief Executive Officer, regularly reviews to analyze performance and allocate resources. The Company sells similar individual products and services in each of its segments. It is impractical to segregate and identify revenues for each of these individual products and services.

The Walmart U.S. segment includes the Company's mass merchandising concept in the U.S., as well as eCommerce, which includes omni-channel initiatives and certain other business offerings such as advertising services. The Walmart International segment consists of the Company's operations outside of the U.S., as well as eCommerce and omni-channel initiatives. The Sam's Club U.S. segment includes the warehouse membership clubs in the U.S., as well as samsclub.com and omni-channel initiatives. Corporate and support consists of corporate overhead and other items not allocated to any of the Company's segments.

The Company measures the profit or loss of its segments using operating income. The CODM uses operating income to allocate resources across the reportable segments as part of the Company's long-range and annual planning processes, and to evaluate planned versus actual results when assessing segment operating performance. From time to time, the Company may revise the measurement of each segment's operating income, including any corporate overhead allocations, and presentation of significant segment expenses, as determined by the information regularly reviewed by its CODM. The operating results of each reportable segment, including the mix of cost of sales and operating, selling, general and administrative expenses, are not directly comparable due to differences in business model, format and channel mix. Additionally, the operating results of each reportable segment may not be comparable to those of other retailers, as discussed in [Note 1](#). Information for the Company's segments, as well as for Corporate and support, including the reconciliation to income before income taxes, is provided as follows:

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Walmart U.S.			
Net sales	\$ 462,415	\$ 441,817	\$ 420,553
Membership and other income	2,594	1,985	1,845
Total revenues	465,009	443,802	422,398
Cost of sales	336,451	323,563	308,805
Operating, selling, general and administrative expenses	104,676	98,085	92,973
Operating income	\$ 23,882	\$ 22,154	\$ 20,620
Walmart International			
Net sales	\$ 121,885	\$ 114,641	\$ 100,983
Membership and other income	1,478	1,408	1,621
Total revenues	123,363	116,049	102,604
Cost of sales	95,267	89,831	79,332
Operating, selling, general and administrative expenses	22,595	21,309	20,307
Operating income	\$ 5,501	\$ 4,909	\$ 2,965
Sam's Club U.S.⁽¹⁾			
Net sales	\$ 90,238	\$ 86,179	\$ 84,345
Membership and other income	2,323	2,051	1,908
Total revenues	92,561	88,230	86,253
Cost of sales	80,035	76,748	75,584
Operating, selling, general and administrative expenses	10,122	9,290	8,705
Operating income	\$ 2,404	\$ 2,192	\$ 1,964
Corporate and support			
Membership and other income ⁽²⁾	\$ 52	\$ 44	\$ 34
Operating, selling, general and administrative expenses	2,491	2,287	5,155
Operating loss	\$ (2,439)	\$ (2,243)	\$ (5,121)
Consolidated			
Net sales	\$ 674,538	\$ 642,637	\$ 605,881
Membership and other income	6,447	5,488	5,408
Total revenues	680,985	648,125	611,289
Cost of sales	511,753	490,142	463,721
Operating, selling, general and administrative expenses	139,884	130,971	127,140
Operating income	29,348	27,012	20,428
Interest, net	2,245	2,137	1,874
Other (gains) and losses	794	3,027	1,538
Income before income taxes	\$ 26,309	\$ 21,848	\$ 17,016

⁽¹⁾ Total fuel-related expenses for Sam's Club U.S. were \$9.9 billion, \$10.6 billion, and \$12.1 billion in fiscal 2025, fiscal 2024, and fiscal 2023 respectively.

⁽²⁾ Includes other income from corporate campus facilities.

Total assets, depreciation and amortization, and capital expenditures for the Company's segments, as well as for Corporate and support, are as follows:

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Walmart U.S.			
Total assets	\$ 150,006	\$ 137,782	\$ 130,659
Depreciation and amortization	8,549	7,671	7,054
Capital expenditures	16,466	13,877	11,425
Walmart International			
Total assets	\$ 80,016	\$ 86,136	\$ 86,766
Depreciation and amortization	2,260	2,159	1,964
Capital expenditures	3,178	2,911	2,625
Sam's Club U.S.			
Total assets	\$ 16,862	\$ 15,682	\$ 15,490
Depreciation and amortization	706	642	609
Capital expenditures	1,212	1,041	727
Corporate			
Total assets	\$ 13,939	\$ 12,799	\$ 10,282
Depreciation and amortization	1,458	1,381	1,318
Capital expenditures	2,927	2,777	2,080
Consolidated			
Total assets	\$ 260,823	\$ 252,399	\$ 243,197
Depreciation and amortization	12,973	11,853	10,945
Capital expenditures	23,783	20,606	16,857

Total revenues and long-lived assets, consisting primarily of net property and equipment and lease right-of-use assets, aggregated by the Company's U.S. and non-U.S. operations, are as follows:

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Revenues			
U.S. operations	\$ 557,622	\$ 532,076	\$ 508,685
Non-U.S. operations	123,363	116,049	102,604
Total revenues	<u>\$ 680,985</u>	<u>\$ 648,125</u>	<u>\$ 611,289</u>
Long-lived assets			
U.S. operations	\$ 115,250	\$ 104,480	\$ 95,567
Non-U.S. operations	24,455	25,858	23,667
Total long-lived assets	<u>\$ 139,705</u>	<u>\$ 130,338</u>	<u>\$ 119,234</u>

No individual country outside of the U.S. had total revenues or long-lived assets that were material to the consolidated totals. Additionally, the Company did not generate material revenues from any single customer.

Disaggregated Revenues

In the following tables, segment net sales are disaggregated by either merchandise category or market. In addition, net sales related to eCommerce are provided for each segment. Net sales related to eCommerce include omni-channel sales where a customer initiates an order digitally and the order is fulfilled through a store or club, as well as net sales from other business offerings that are part of the Company's ecosystem such as certain advertising arrangements, fulfillment services, and data insights. From time to time, the Company revises the assignment of net sales of a particular item to a merchandise category. When the assignment changes, previous period amounts are reclassified to be comparable to the current period's presentation.

(Amounts in millions)	Fiscal Years Ended January 31,		
	2025	2024	2023
Walmart U.S. net sales by merchandise category			
Grocery	\$ 276,003	\$ 264,210	\$ 247,299
General merchandise	113,921	113,985	118,597
Health and wellness	62,092	54,898	46,591
Other	10,399	8,724	8,066
Total	<u>\$ 462,415</u>	<u>\$ 441,817</u>	<u>\$ 420,553</u>

Of Walmart U.S.'s total net sales, approximately \$79.3 billion, \$65.4 billion and \$53.4 billion related to eCommerce for fiscal 2025, 2024 and 2023, respectively.

(Amounts in millions)

Walmart International net sales by market	Fiscal Years Ended January 31,		
	2025	2024	2023
Mexico and Central America	\$ 51,970	\$ 49,726	\$ 40,496
Canada	23,035	22,639	22,300
China	19,975	17,011	14,711
Other	26,905	25,265	23,476
Total	\$ 121,885	\$ 114,641	\$ 100,983

Of Walmart International's total net sales, approximately \$29.5 billion, \$24.8 billion and \$20.3 billion related to eCommerce for fiscal 2025, 2024 and 2023, respectively.

(Amounts in millions)

Sam's Club U.S. net sales by merchandise category	Fiscal Years Ended January 31,		
	2025	2024	2023
Grocery	\$ 59,976	\$ 56,455	\$ 53,055
Fuel and other	12,924	13,678	15,385
General merchandise	11,249	11,041	11,669
Health and wellness	6,089	5,005	4,236
Total	\$ 90,238	\$ 86,179	\$ 84,345

Of Sam's Club U.S.'s total net sales, approximately \$12.1 billion, \$9.9 billion and \$8.4 billion related to eCommerce for fiscal 2025, 2024 and 2023, respectively.

Note 13. Subsequent Event

Dividends Declared

The Company approved, effective February 20, 2025, the fiscal 2026 annual dividend of \$0.94 per share, an increase over the fiscal 2025 dividend of \$0.83 per share. For fiscal 2026, the annual dividend will be paid in four quarterly installments of \$0.235 per share, according to the following record and payable dates:

Record Date	Payable Date
March 21, 2025	April 7, 2025
May 9, 2025	May 27, 2025
August 15, 2025	September 2, 2025
December 12, 2025	January 5, 2026